Business Studies / Secondary

Revenue, costs and profit

Revenue is income from sales before costs are deducted. Profit is the difference between total revenue and total costs in this simplified model.

Core ideas

1. Revenue = selling price per unit × quantity sold.
2. Total costs = fixed costs + total variable costs.
3. Profit = revenue − total costs. A negative result is a loss.

Worked example

A business sells 50 items at 12 each. Revenue is 600. Fixed costs are 100 and variable costs total 300. Total costs are 400, so profit is 200.

Try it yourself

1. Find revenue from 40 items at 8 each.
2. Find profit when revenue is 900 and total costs are 650.
3. What is the result when costs exceed revenue by 70?

Check your answers

1. 320
2. 250
3. A loss of 70.